

Certificate in Accounting and Finance Stage Examination

Audit and Assurance Essentials

Model paper

100 marks



Instructions to examinees:

- (i) Answer all **NINE** questions.
- (ii) The overall duration of the exam is 3 hours & 15 minutes, which includes the 15-minute reading time.
- (iii) Answer in **black** pen only.
- (iv) Answer Multiple-Choice Questions in the answer script only.

SECTION A (Ranging from 35 to 45)

QUESTION 1

Select the most appropriate answer from the options provided for each of the following Multiple-Choice Questions (MCQs).

- (i) Mr. Fahad, an engagement partner, is auditing Grey Pharma Limited (GPL) and requires an expert to value complex intellectual property (drug patents). He identifies Dr. Abdullah, a highly respected patent valuation specialist, as a potential auditor's external expert. However, during her evaluation, Mr. Fahad discovers that Dr. Abdullah's firm also provides significant consulting services to GPL related to the licensing agreements for the very same patents he would be valuing in the audit.

According to ISA 620, how should Mr. Fahad evaluate and address this situation regarding Dr. Abdullah's objectivity?

- (a) Dr. Abdullah's high reputation and technical competence are sufficient, and any conflict can be managed by increased audit procedures in other areas
- (b) Mr. Fahad should inform Dr. Abdullah to cease the consulting services to GPL for the duration of the audit engagement to maintain objectivity
- (c) Mr. Fahad must critically evaluate the threats to Dr. Abdullah's objectivity, recognizing that providing services related to the subject matter of the valuation creates a self-review or self-interest threat that may prevent him from being used as the auditor's expert
- (d) This situation only requires a clear disclosure in the audit report about the expert's other services to the client, as long as Dr. Abdullah consents

(02 marks)

- (ii) Which of the following best describes a requirement under ISA 230 regarding the form, content, and extent of audit documentation?

- (a) Documentation must be detailed enough to enable the client's management to understand the audit procedures performed
- (b) Documentation must be in hard copy to ensure proper retention and accessibility
- (c) Documentation must enable an experienced auditor with no previous connection to the audit to understand the work performed, the audit evidence obtained, and the conclusions reached
- (d) Documentation must only include information that supports the auditor's opinion and not information that contradicts it

(01 mark)

- (iii) Which of the following is **NOT** part of IT General Controls?

- (a) Program change controls
- (b) Logical access controls
- (c) Data encryption
- (d) Check digit

(01 mark)

- (iv) During a test of controls for revenue recognition at Teal E-Commerce Solutions, the auditor, Ms. Eman, selects a sample of 100 sales invoices to verify that each had a valid customer order. She finds one invoice where the customer order number is completely missing. Upon investigation, she discovers that this specific invoice was for a trial subscription provided as a goodwill gesture after a system glitch, and the company's policy for such "goodwill" invoices explicitly waives the standard customer order requirement. Ms. Eman obtains documentation of this policy and management's approval for the specific goodwill gesture.

How should Ms. Eman treat this finding in the context of her audit sample, according to ISA 530?

- (a) It is a control deviation, as the invoice still lacks a customer order number, and must be included in the calculation of the sample deviation rate
 - (b) It is a misstatement, and its monetary value should be projected to the population to estimate the total revenue misstatement
 - (c) It is an anomaly, provided Ms. Eman obtains a high degree of certainty that it is not representative of deviations in the population, and it should not be projected to the population
 - (d) It is a non-sampling risk, representing an auditor's misinterpretation of policy, and should be excluded from the sample evaluation without further action **(02 marks)**
- (v) Which of the following best describes sampling risk in the context of audit procedures?
- (a) The risk that the auditor selects a wrong population to sample from
 - (b) The risk that audit procedures are not performed correctly
 - (c) The risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were tested
 - (d) The risk that the control environment influences the audit sample size **(01 mark)**
- (vi) Which of the following best describes the level of assurance provided in a review engagement?
- (a) No assurance
 - (b) Absolute assurance
 - (c) Limited assurance
 - (d) Reasonable assurance **(01 mark)**
- (vii) An audit team for Orange Logistics Limited has identified several misstatements during the audit fieldwork. Individually, these misstatements are all below the established performance materiality. However, when aggregated, they exceed the performance materiality and approach the materiality for the financial statements as a whole. Management has refused to correct these misstatements, asserting that each is individually immaterial and thus, in their view, the financial statements remain materially correct.

Based on ISA 450 and related ISAs, what is the auditor's primary responsibility in this situation?

- (a) Issue an unmodified opinion, but include an Emphasis of Matter paragraph to highlight management's refusal to correct the aggregated immaterial misstatements
- (b) Request a written representation from management confirming their belief that the uncorrected misstatements are immaterial, and then issue an unmodified opinion if received
- (c) Re-evaluate the overall audit strategy and audit plan, assess whether the aggregated uncorrected misstatements are material to the financial statements as a whole, and determine the implications for the audit opinion in accordance with ISA 705
- (d) Perform additional audit procedures to seek further evidence that the misstatements are indeed individually immaterial, as management claims **(02 marks)**

QUESTION 2

Your firm is the external auditor of Fast Track Logistics Limited (FTL), a company that provides delivery services across Pakistan, for the year ended 31 December 2024. The following information is available:

	2024	2023
	----- Rs. in million -----	
Revenue	4,500	3,000
Receivables	1,125	600
Cash and cash equivalents	700	1,100
Number of deliveries (in '000)	12,000	10,000

Additional information:

- (i) FTL has been facing intense competition, leading to aggressive pricing strategies, offering discounts and expansion to three new regions.
- (ii) A major shareholder sold his shares before year-end due to dispute with other shareholders.
- (iii) The FTL's CFO resigned midway through the year, and the position remains vacant.

Required:

Discuss the fraud risk factors that are present in the above scenario.

(09 marks)

QUESTION 3

Your firm is the external auditor of Bright Future Educational Trust (BFET), a non-profit organization that operates schools in Pakistan. BFET receives 80% of its funding i.e., Rs. 400 million from government education grants, while the remaining 20% comes from tuition fees and private donations. Notably, Rs. 30 million in tuition fees remained uncollected at year-end.

Recently, BFET implemented a new Financial Information System (FIS). During the implementation of the FIS, Rs. 15 million in grants were identified as misallocated. Despite this implementation, the fee collection records at some schools still do not reconcile with bank deposits, and handwritten corrections were found on some donation receipts.

Furthermore, the latest government funding report to be submitted by BFET was delayed due to the implementation of the FIS.

Required:

Identify and discuss the audit risks in the above scenario.

(09 marks)

QUESTION 4

- (a) Your audit firm, FNZ & Company Chartered Accountants (FNZ) is currently conducting the annual audit of Champion Oils Limited (COL), a listed oil and gas company, for the year ended 31 December 2024. COL has recently decided on an early implementation of sustainability-related reporting standards.

To strengthen the knowledge of the firm's audit staff, FNZ has scheduled formal training on the sustainability standards with a renowned trainer on 31 March 2025. The trainer has suggested to incorporate the real-world scenarios from the firm's audit clients into the upcoming training to help staff understand the practical implications of the sustainability standards.

Required:

In light of the ICAP Code of Ethics for Chartered Accountants, discuss the threat(s) and the fundamental principle(s) affected by these threats. Also, evaluate the significance of the threat(s).

(10 marks)

- (b) You are the audit engagement partner for the audit of Sports Wear Limited (SWL), one of the most significant clients of your firm, contributing 16% of the firm's total audit revenue. You have been informed by the managing partner of the firm that the board of SWL wants to complete the audit within one month after year-end. He instructed you to complete the audit within this timeline, as this would help us maintain a strong client relationship.

Required:

In light of the ICAP Code of Ethics for Chartered Accountants, discuss the threat(s) and the fundamental principle(s) affected by these threats. **(06 marks)**

SECTION B (Ranging from 55 to 65)

QUESTION 5

You are the audit manager in a firm of Chartered Accountants. The following independent matters are presently under your consideration:

- (a) Your firm is the auditor of Sugar Biscuits Limited (SBL) for the year ended 31 December 2024. During the audit, your team identified that SBL's bank loans were due in the last month, and the management has not provided any evidence of either the renewal of the existing agreement or the obtaining of a new one to cover these obligations. Management has not yet provided a detailed restructuring plan or any survival projections to demonstrate how SBL will continue to operate in the foreseeable future. Management has expressed confidence in their ability to resolve the financial difficulties, yet they have not provided any evidence to support this claim. **(06 marks)**
- (b) Your firm is the auditor of MedLife Pharmaceuticals Limited (MPL) for the year ended 31 December 2024. MPL maintains a significant stock of a particular over-the-counter medicine, reported at a cost of Rs. 150 million in the financial statements. This medicine has been a major contributor to MPL's revenue of Rs. 1,530 million and net profit of Rs. 306 million.

The government has implemented a new regulation effective from 1 December 2024, which reclassifies this medicine as a prescription-based drug. This change is expected to significantly reduce the demand for the product, as it will no longer be easily available to customers without a prescription. It is estimated that 30% of the stock at MPL will not be saleable before its expiry date. **(06 marks)**

Required:

Evaluate each of the above independent situations and discuss the implications for the audit report.

QUESTION 6

- (a) Your firm is conducting an internal control review for QuickBuy Supermarkets Limited, a national grocery chain with multiple locations. As part of the evaluation, your team visited several stores and reviewed key financial and operational processes. Your team has made the following observations:
- (i) At the checkout counters, cashiers manage the cash registers throughout the day and prepare the end-of-day reconciliation reports, which they submit directly to the accounts department.
 - (ii) The procurement manager is responsible for placing inventory orders and approving supplier invoices for payment.
 - (iii) The accountant can modify system-generated invoices even after they have been recorded. This is usually done to rectify incorrect entries posted in the general ledger.

Required:

Identify the control deficiencies and the risk(s) associated with each deficiency. Also, recommend any **two** controls to mitigate each control deficiency. **(09 marks)**

- (b) While reviewing the working papers prepared by audit team for the audit of Apple Limited, the audit manager has noted that the team solely relied upon written representation in the following cases:
- (i) Identification of related party transactions
 - (ii) Inventories held by third parties

Required:

Discuss the quality of audit evidence obtained by the audit team.

(05 marks)**QUESTION 7**

Your firm is the auditor of Metro Textile Limited (MTL) for the year ended 31 December 2024. The management of MTL has provided your team a revenue schedule, the extracts of which are as follows:

Invoice no.	Customer name	Invoice date	Revenue type	Invoice amount	Revenue recognized	Deferred revenue	Payment received	Time of recognition
				----- Rs. in million -----				
24-023	ABC Fashion Inc.	01-12-24	Export	50	50	-	50	Point-in-time i.e., shipping
24-267	Retail Direct Ltd.	05-12-24	Retail	90	90	-	60	Point-in-time i.e., cash sales
24-705	Style ME Pvt Ltd.	10-12-24	Wholesale	100	60	40	60	Over time of the contract
24-799	TexCorp Europe	31-12-24	Export	25	25	-	-	Point-in-time i.e., shipping

Required:List any **eight** substantive audit procedures that the audit team can perform on the above information.**(08 marks)****QUESTION 8**

You are the audit senior assigned to the audit of Omega Limited, a mid-sized retail company for the year ended 31 December 2024. During the audit of cash and bank balances, you observed several matters, which are detailed below:

- The bank reconciliation for December 2024 shows an unexplained reconciling difference of Rs. 2.5 million, which remains unresolved. The finance manager suspects that this is due to timing issues in recording transactions.
- The cash book contains cheques issued more than six months ago that still remain outstanding. Some of these stale cheques are related to suppliers' payments, which have already been paid through alternative methods.
- The petty cash ledger shows a balance of Rs. 0.5 million, but a physical cash count revealed a balance of Rs. 0.4 million.

Required:State **three** audit procedures that should be performed to address each of the above matters.**(09 marks)****QUESTION 9**

- Discuss the placement and presentation of emphasis of matter paragraph in the auditor's report when a key audit matter section is included. **(03 marks)**
- Discuss why it is important to obtain written representation as close as possible to the auditor's report date. With the help of **three** examples, explain what potential issues can arise if written representations are obtained early. **(05 marks)**
- State the principles for determining the reliability of audit evidence. **(05 marks)**

(THE END)